



Expenditure Reduction Plan

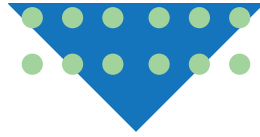
SDRP Phase 3 Reductions

April 20, 2026



EVANSTON/SKOKIE
SCHOOL DISTRICT 65

Every Child, Every Day, Whatever it Takes



Understanding our Financial Outlook



Assumptions and Budgetary Pressures



- **Revenue growth:** ~2% annually based on historical CPI trends, projected declining interest rates and flat State and Federal funding
- **Salary:** ~5% annual salary growth, driven by bargained labor agreements
- **Benefits:** ~12% for FY27 and 6% for FY28 through FY30 driven by labor agreements, health insurance trends, and pension-related costs
- **Purchased services:** ~3% annual growth based on inflationary and contractual cost pressures
- **Utilities forecast:** electric to increase ~15% to 17%, and natural gas to increase ~8% in FY27
- **Enrollment:** Continued decline consistent with recent demographic trends
- **Facilities:** Ongoing operating costs, including \$2.7 million for capital expenditures



Financial Projections Baseline

Assumptions: \$5 million W/C Transfer for Foster School; \$2.7 Capital Projects



Operating Fund Projections Baseline						
Operating Funds	FY25 Actual	FY26 Budgeted(*)	FY27 Projected	FY28 Projected	FY29 Projected	FY30 Projected
Revenues	168,376,918	174,293,291	178,135,392	182,659,121	187,308,771	192,057,807
Expenditures	168,704,887	175,682,880	183,601,817	191,025,507	198,340,727	205,772,789
Net Change in Fund Balance	(327,969)	(1,389,589)	(5,466,425)	(8,366,386)	(11,031,956)	(13,714,258)
Fund Balance Transfer	(915,610)	(3,954,038)	(7,700,000)	(2,700,000)	(2,700,000)	(2,700,000)
Other Sources/Uses (DSEB Financing)	915,610	2,314,585	-	-	-	-
Beginning Fund Balance	50,114,571	49,786,601	46,757,559	33,591,135	22,524,748	8,792,792
Ending Fund Balance	49,786,601	46,757,559	33,591,135	22,524,748	8,792,792	(7,621,466)
Days Cash on Hand > 90 Days	107	96	66	43	16	-14

(*) FY26 Budgeted amount is adjusted for projected interest income revenue reductions.



Financial Model Projections: D1



Assumptions: Balanced Budget, 90 Days Cash on Hand, \$1M W/C for Foster, \$2.7M Capital Projects, Multi Year Reductions

SDRP Phase III Model Assumptions - Financial Model D.1						
Budget Reduction	Category		FY27-Proj	FY28-Proj	FY29-Proj	FY30-Proj
Bessie Rhodes Proceeds / Reduced Foster W/C	Fund Balance Transfer		4,000,000			
FY27 SDRP Operating Fund Reductions	Expenditures		6,300,000	6,615,000	6,879,600	7,154,784
FY28 SDRP Operating Fund Reductions	Expenditures			4,950,000	5,247,000	5,561,820
FY29 SDRP Operating Fund Reductions	Expenditures				2,950,000	3,038,500
FY30 SDRP Operating Fund Reductions	Expenditures					1,600,000
Total Expenditure Reductions			6,300,000	11,565,000	15,076,600	17,355,104
Operating Fund Projections with Model Assumptions						
Operating Funds	FY25-Est	FY26-Bud	FY27-Proj	FY28-Proj	FY29-Proj	FY30-Proj
Revenues	168,376,918	174,293,291	178,135,392	182,659,121	187,308,771	192,058,531
Expenditures	168,704,887	175,682,880	177,301,817	179,460,507	183,264,127	188,417,685
Net Change in Fund Balance	(327,969)	(1,389,589)	833,575	3,198,614	4,044,644	3,640,846
Fund Balance Transfer	(915,610)	(3,954,038)	(3,700,000)	(2,700,000)	(2,700,000)	(2,700,000)
Other Sources/Uses (DSEB Financing)	915,610	2,314,585	-	-	-	-
Beginning Fund Balance	50,114,571	49,786,601	46,757,559	43,891,135	44,389,748	45,734,392
Ending Fund Balance	49,786,601	46,757,559	43,891,135	44,389,748	45,734,392	46,675,238
Days Cash on Hand >90 Days	107	96	90	90	90	90



FY27 Estimated Total Budget Reductions



As presented at April 13, 2026 Committee of the Whole Meeting

Description	Savings
Impacted Personnel: Overall Compensation Reductions* <i>(Board Approved on 4/13/2026)</i>	\$3,565,106
Non-Personnel: Other Expenditure Reductions	\$2,099,817
Total Estimated Budget Reductions	\$5,664,923

**Updated to reflect the Board's decision to retain (7) school counselor positions.*



SDRP Phase III

Personnel & Non-Personnel Reductions

*Based on April 13, 2026
Committee of the Whole Meeting*



FY27 Position Reductions - Board Approved 4/13/26



Area of Operations	Position Reductions	Position Additions	Net FTE Reduction	Estimated Savings
DEC	-21	+0	-21	\$1,989,994
DESC	-5	+0	-5	\$ 170,465
ECMA	-8	+0	-8	\$ 463,760
ETAA	-10	+0	-10	\$ 173,520
EACCP	-4.5	+0	-4.5	\$ 238,150
Non-Union	-5	+1	-4	\$ 529,217
Total	-53.5	+1	-52.5	\$3,565,106

School-level reductions are reflective of declining student enrollment and the closure of Kingsley Elementary. Reductions continue to keep class sizes within the collective bargaining guidelines.



Phase III FY27 Proposed Non-Personnel Reductions



As presented at April 13, 2026 Committee of the Whole Meeting

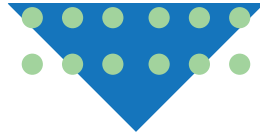
Description of Reduction	Reduction
Other Purchased Services	\$1,100,331
Technology	\$ 203,000
Elimination of SACC Optional Half-day & Flex Care Program	\$ 46,486
Out-of-District Tuition + Transportation Costs	\$ 750,000
Total	\$2,099,817



Current Status: FY27 Estimated Budget Reductions



Description	Savings
Impacted Personnel: Overall Compensation Reductions <i>(board approved April 13, 2026)</i>	\$3,565,106
Non-Personnel: Other Expenditure Reductions <i>(administration proposed April 13, 2026)</i>	\$2,099,817
Estimated Budget Reductions	\$5,664,923
<i>Additional Reductions Necessary</i>	<i>(\$635,077)</i>
FY27 Target Budget Reductions	\$6,300,000



Phase III FY27 and Beyond Additional Reduction Considerations



Potential Non-Personnel Reduction Considerations



Items for Analysis	Potential Savings
Retract Hazard Additions (Ridge, Chicago, Gross Point)	\$ 400,000
Eliminate PreK Transportation	\$1,000,000
Decrease CapEx spend for FY27 (Current Commitment: \$2.7M)*	\$700,000
Decrease crossing guard spending (Current Commitment: \$500,000)	Per board direction
AVID Program	\$60,000

**Capital projects currently out for bid (Scope of FY27 summer projects board discussed on March 23, 2026)*

Items for Analysis - Potential Additional Personnel Reduction Considerations



Item	Potential Savings	Contractual Deadline for Notifications
SACC Before and After School Programming (<i>net costs after revenue received</i>)	\$360,858	At least thirty (30) calendar days in advance of said action (per CBA)
FACE Liaisons	\$568,214	30 days before date of termination
- Central Office Admin positions /non-union support positions 22 administrators 42 non-union support	\$8,287,312	April 1, 2026 for admin to go into effect for FY27 30 days before date of termination



Potential Revenue Generation Opportunities



Item	Potential Revenue*
• Disposition of Bessie Rhodes Property (based on assessed value)**	\$3.5-\$4.5 M
• Disposition of Kingsley Property (based on property assessment)**	\$4.5-\$5.5M

**Estimated low and high property value from the D65 Property Assessment Report.*

*** (Note: Not a true appraisal value and is not a reliable amount until appraisal is performed)*



Other Considerations: Foster Project Completion



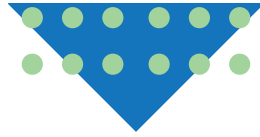
Description	Costs
K-5 Projected Construction Costs	\$44,951,936.00
K-8 Design Costs (Actual)	\$2,185,061.69
Construction Manager	\$304,335.00
Foster School Project Completion (total)	\$47,441,332.69
Estimated remaining project costs	\$12,495,082.91
Lease Certificates proceeds available	\$7,711,971.06
Estimated Funding Needed to Complete Project:	\$4,783,111.85



Other Considerations



Description	Savings
Master Facilities Plan	\$598,000,000 (over 50 years)
Board Approved Resolution (approved 1/9/26) ● <i>achieve and maintain a balanced budget</i> ● <i>maintain at least ninety (90) days of cash on hand through the course of the fiscal year, and</i> ● <i>maintain a minimum of \$2,700,000 set aside for capital expenditures related to building maintenance</i>	



Summary and Next Steps



Current Status: FY27 Estimated Budget Reductions



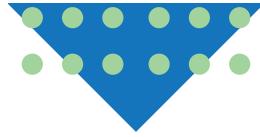
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Estimated Budget Reductions	\$5,664,923
<i>Additional Reductions Necessary</i>	<i>(\$635,077)</i>
FY27 Target Budget Reductions	\$6,300,000



Next Steps: 2026-2027 School Year and Beyond



- Continue exploring and determine alternative deficit-reduction strategies
 - Regularly assess operations and roles with a focus on equity and return on investment
 - Identify creative revenue generation opportunities
 - Short and long-term decision-making that aligns projected expenditures to revenues
 - Continued alignment of class size to reflect student enrollment (within district guidelines)
- Per Board Resolution, by October 2026, evaluate financial sustainability and 75% K-5 building utilization; if unmet, prepare to propose closure of Lincolnwood Elementary
- Consider increasing capital investment to 1% of CRV (approximately \$4.9 million annually)
- Execute Phase III operational reductions beginning as early as the 2026-27 school year, future reductions based on updated financial projections
- Board establishes vision for SDRP Phase IV and beyond aligning financial sustainability & facility planning to support stable, high-quality learning environments for all students
 - Stakeholder engagement through ongoing, transparent communication, with administration responsible for implementation



Discussion
